

**Performance Improvement Plan Guidelines****Ver 4.0**

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| Document Name  | Performance Improvement Plan Guidelines |
| Prepared By    | Regional BHR                            |
| Reviewed By    | Lead Corp BHR & HR Governance Team      |
| Approved By    | Head BHR                                |
| Version #      | 4.0                                     |
| Effective Date | 1 March 2025                            |

## Revision History

The Revision History table below provides a record of all revisions made to this document throughout its lifecycle. Updates are tracked by date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

| Effective Date | Version # | Change Description / Reason                                      | Prepared / Revised By | Reviewed By                   | Approved By        |
|----------------|-----------|------------------------------------------------------------------|-----------------------|-------------------------------|--------------------|
| 1 June 2024    | 3.0       | 1.Modification of clauses1.<br>2. Introduction of ED as approver | Head Business HR      | Head Human Resources          | Executive Director |
| 1 March 2025   | 4.0       | 1.Modification of clauses                                        | Regional BHR          | Lead BHR & HR Governance Team | Head BHR           |
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## Objective

1. At Poonawalla Fincorp Limited, we are dedicated to upholding exemplary performance standards. Our Performance Improvement Plan (PIP) Guidelines are designed to assist underperforming employees in enhancing their performance.
2. The PIP Guidelines establish a framework for employees and supervisors to foster performance improvement through structured monitoring and coaching. This formal process aids employees in augmenting their performance.
3. The primary objective is to support individuals in meeting the requisite performance and behavioral standards. The PIP Guidelines ensure a transparent process to address performance issues within a specified timeframe.

## Scope & Applicability

1. The guidelines shall be applicable to all confirmed on-roll employees of Poonawalla Fincorp Limited (PFL). The Performance Improvement Plan (PIP) may be initiated for a maximum duration of three months, contingent upon business requirements.
2. The decision to place an employee on PIP should be predicated on their performance and the necessity for improvement. Employees rated "Below Expectation" (BE) and "Far Below Expectation" (FBE) in the annual appraisal shall be subject to PIP.
3. Non-performing employees, as determined by quarterly or half-yearly review of scorecards, and employees rated "Below Expectation" (BE) and "Far Below Expectation" (FBE) for the respective quarter or half-yearly period, shall be subject to PIP at the organization's discretion.

## Guidelines

1. A Performance Improvement Plan (PIP) may be issued to employees whose performance fails to meet organizational standards.
2. PIP letters, adhering to the approved format, will be issued to the employee, delineating the PIP duration and the objectives to be accomplished.
3. Upon issuance of the PIP, periodic evaluations will be conducted for the employee.
4. Thirty days subsequent to the PIP issuance, the employee's performance will be assessed against the PIP objectives. If deemed satisfactory, a PIP clearance letter will be issued based on the supervisor's recommendation. If deemed unsatisfactory, the evaluation period will be extended by an additional 30 days.
5. After 60 days, the employees' performance will be reassessed. If satisfactory, a PIP clearance letter will be issued upon the supervisor's recommendation. If unsatisfactory, the employee will be notified that the subsequent 30 days will constitute the final period to meet the PIP objectives.
6. Should an employee's performance be deemed unsatisfactory during or at the conclusion of the PIP, their employment shall be terminated in accordance with the separation clause stipulated in the appointment letter.

## Exception & Review

Any amendments to this document shall require approval from Committee of HR.